

Demo Client · DEMO-0007
11 November 2026 · v1.0

Field	Value
Document	Methodology of the monthly management pack
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Engagement	DEMO-0007 · Demo Client
Pack	Monthly Management Pack, September 2024
Prepared by	ProQuant Analytics · info@proquantanalytics.com
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1. Purpose

The pack gives the board, the owners or the group the same view every month: how the company traded against budget and last year, why, what happened to cash, how much room the bank covenants leave, and where the year is heading. It is produced from the month's trial balance by a controlled process, so that the numbers do not depend on one person's spreadsheet and the reader knows how far to trust them.

2. Inputs

Data set	Size	Fingerprint (SHA-256)
trial_balance	883 rows	`957a87491d69cef5`
chart_of_accounts	32 rows	`b5d87312bfe895c8`
budget	672 rows	`e9535cc213d5797a`
volumes	72 rows	`a1e16f7cc1f280ce`
headcount	84 rows	`5a86331912b9b27e`
ar_ageing	420 rows	`903143b41b16def6`
bank	21 rows	`5dd66f0ef464a5d5`

Each input is fingerprinted with SHA-256 on ingest and recorded in the run audit trail. Account numbers and periods are read as text.

3. From the trial balance to the statements

The monthly P&L of an account and cost centre is the change of its year-to-date balance (the balance restarts in January). Income and expense are both shown positive. A P&L cell missing from a month but present earlier in the year is carried forward and counted. The closing balance sheet uses natural signs (assets positive, liabilities and equity positive credits); equity includes the profit of the year to date because the trial balance has not yet closed it into retained earnings. Accounts that are not in the chart are **kept** and labelled "Unmapped (review)", classified by the first digit of the number, so that no money disappears from the pack.

4. Windows and comparisons

Every figure is a sum of monthly cells over a window: the **month**, the **year to date** (January to the month) or the **last twelve months**. Comparisons: budget, the same window one year earlier, and the prior month. A variance is signed so that **positive is favourable**: actual above reference for income and profit lines, below reference for cost lines. A line is flat inside a tolerance; otherwise good or bad. The prior year is the reference when there is no budget. Margins are compared in percentage points.

5. Price, volume and the EBITDA bridge

For each product with units: volume effect on revenue = (actual units - budget units) x budget price; price effect = (actual price - budget price) x actual units; the two add up to the revenue variance exactly. Cost of sales is flexed with volume (budget cost x actual units / budget units); the flexed amount less the budget is the cost of the extra volume, and the actual against the flexed amount is the cost-rate effect (materials, labour, hosting per unit). The **EBITDA bridge** is budget EBITDA + price + volume (margin) + cost rates + operating-cost variances by cost centre (+ other, if any) = actual EBITDA; every step is signed by its effect on EBITDA.

6. Cost centres and headcount

Operating costs are shown by cost centre and line against budget. A variance that exceeds both a percentage and an amount threshold (configurable) is put on the **budget-holder variance sheet** with the owner of the cost centre and a hint (for salaries, the headcount against budget). The holder explains it and agrees an action; finance reviews and closes.

7. Cash, working capital and covenants

The cash flow is derived (indirect method) from the P&L and the balance-sheet movements: net income, depreciation, changes of receivables, inventory, prepayments, payables, accruals, deferred revenue and tax, capital expenditure from the change of PP&E at cost, and the change of debt. It must explain the movement of the cash account exactly; the difference is a close check. Days sales outstanding, inventory and payable use the last three months, annualised; net working capital is receivables + inventory + prepayments - payables - accruals - deferred revenue. Covenants are tested on the last twelve months; **headroom** is the share of the limit still available, and for leverage it is also the share by which EBITDA could fall before a breach.

8. Forecast and scenarios

The remaining months of the year are forecast, in a way the client can recompute in a spreadsheet: revenue and operating-cost lines = budget of the month x (1 + damping x (YTD actual / YTD budget - 1)), the ratio capped; cost of sales = the YTD cost rate of the product x the forecast revenue of the product; depreciation = last month growing at a set rate; interest = bank loan x rate / 12; tax = rate x forecast profit before tax; accounts declared as one-offs are not forecast. Cash = previous cash + EBITDA - tax - interest - capex - loan repayment - change of net working capital. The full-year outlook is YTD actual plus the forecast, against the full-year budget and last year; the year-end covenants use the last twelve months of actual and forecast. Scenarios shock forecast revenue and the cost rate.

9. Close checks and the status of the pack

Eleven checks run on every month: trial balance received; trial balance balances; every account is in the chart; no balance-sheet account disappeared; ledger cash agrees with the bank statement; receivables agree with the ageing; the derived cash flow explains the movement of cash; revenue is in line with the previous six months

(robust deviation from the median, spread never below 10%); a budget for every account with actuals; units and headcount loaded; the month is unchanged since it was last reported. Thresholds are agreed at kickoff and stored in the configuration. A **blocking** check that fails (configurable; by default: received, balances, mapped, present) puts the pack on **HOLD**: it is stamped DRAFT and nothing should be sent. Any other warning or failure makes it **PROVISIONAL**; otherwise it is **FINAL**. The same checks run for every month received, so the history shows what would have been held.

10. Ledger and restatements

Each run stores, for every month, a fingerprint of its trial balance and budget rows and of its statement figures, with its EBITDA and status. If a month reported before now has a different trial balance, the check "month unchanged" warns and the pack shows the change in EBITDA.

11. Commentary

Sentences are assembled by rules from the tables: headline, year to date, the largest adverse and favourable steps of the EBITDA bridge, price and volume by product, the cost centre furthest from budget, headcount, unmapped amounts, cash and working capital, covenants and headroom, the forecast and the worst scenario, close notes, actions and analyst notes. Where a number is missing the sentence says so. The analyst reads the draft and may add notes.

12. Actions

Actions carried from month to month are kept by hand in a file; the pack shows them and marks those past their due date as overdue. The pack never writes the file.

13. Reproducibility

Inputs, configuration and code version are recorded in `audit.json`. Re-running the same inputs gives the same statement fingerprints. Every table in the deliverables is a CSV in the run folder.

14. Limitations

The limits of this work are set out in the report. No deviations from the standard methodology.